

instinctively influence short-term price fluctuations to move markets through resting stoporder points in either direction.

But some excellent work in moving average analysis today focuses on the slope of the moving average or the rate of change. If you're looking for an area of technical analysis to concentrate on, this could be it.

Over the years, we have seen some ambitious research in optimized crossover analysis, especially by Dave Barker and Frank Hochheimer. For example, one analyst studying the markets from 1970 to 1979 found that the optimum crossover combination for corn was 12 days vs. 48 days and for copper, 17 days vs. 32 days.

---

*Most of the time, markets are in relative equilibrium or in more of a broad sideways formation than a distinct trending formation.*

---

Another analyst, using the period 1975–80, found the optimum combination for corn to be 14 days vs. 67 days and for copper four days vs. 20 days.

This kind of approach could work well for very long-term position trading, but its shortcoming is its inherent slowness. And it gives up a significant part of each major move before it flips.

I would like to challenge technically oriented traders and researchers with this thought: Since most long-term position traders are trend-followers, we are constantly trying to make discernible trends out of all markets. As a result, we are invariably buying upside “breakouts” and then selling downside “breakouts” and, I regret to say, losing money on most of these trades.

The simple and inescapable truth is that most of the time, markets are in relative equilibrium or in more of a broad sideways formation than a distinct trending formation. So buying strength and selling weakness turns out to be a costly exercise.